

Preview of New Zealand Budget 2026

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Budget 2026 is expected to reveal a weaker near-term outlook due to the Iran war, but the Government's goal of achieving surplus in 2028/29 remains.



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Preview of New Zealand Budget 2026, 28 May 2:00pm.

Fiscal strategy unchanged, but more debt near term.

- Prior to the Iran war, Budget 2026 was set to reveal a rare improvement in the fiscal outlook. That is no longer the case.
- The Government has cut the operating allowance for Budget 2026, but the conflict will lift spending on items that sit outside the allowance. It will also lead to slightly lower revenue.
- The magnitude of the impact will depend on the Treasury's assumption about the duration and implications of the conflict, which is uncertain.
- We assume the Treasury's economic forecast will be pitched near the less severe end of the range of scenarios that the Minister of Finance presented last month.
- As a result, we expect the cumulative OBEGALx deficit over the forecast period to rise by around \$8bn, with the largest deterioration occurring in 2026/27.
- The Prime Minister has reaffirmed that the Government's fiscal strategy remains to achieve an OBEGALx surplus in 2028/29. We expect the Treasury will forecast a return to surplus (just) in 2029/30.
- The net capital allowance for Budget 2026 has been raised to \$5.7bn from \$3.5bn previously. This will add to the forecast borrowing requirement.
- Depending on the spending assumption from Budget 2027 onwards, we expect the cumulative four-year financing requirement will be around \$7-9bn larger than forecast in the HYEPU, with the programme for 2026/27 lifted by \$2-3bn.
- Net core Crown debt will likely be projected to peak at around 48% of GDP in 2028/29, before declining gradually thereafter.
- We think that the outlook above would come as no surprise to the credit rating agencies, and on its own would be unlikely to cause a ratings downgrade.
- Given the impending General Election, the Treasury will need to publish a fiscal update (the PREFU) by early October. Depending on the path of the conflict, this could lead to marked changes to the Budget forecasts.

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